IELTS Level 4.5 Advanced Economics Test - Test Results

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Test Summary

Grammar & Vocabulary:	20/20 (Band 9)
Reading:	19/30 (Band 6.5)
Listening:	34/40 (Band 8.5)
Writing:	18/20 (Band 9)
Overall IELTS Band Score:	**7.2**
Total Raw Score:	82.73/100
Time Spent:	46:35

Grammar & Language Use

Question 1

_____ the complexity of modern financial systems, comprehensive regulation has become increasingly necessary.

A) Given

B) Giving

C) To give

D] Having given

Explanation: Preposition meaning 'considering'

Question 2

The economic recovery, _____ by unprecedented fiscal stimulus, exceeded most forecasts.

A) bolstered

B) bolstering

C) having bolstered

D] being bolstered

Explanation: Past participle in reduced relative clause

Question 3

Not only _____ income inequality, but it also threatens social cohesion.

A) does economic polarization exacerbate

B) economic polarization exacerbates

C) exacerbates economic polarization

D] has economic polarization exacerbated

Explanation: Inversion after 'not only'

Question 4

The central bank insisted that emergency measures _____ immediately.

A) be implemented

B) are implemented

C) were implemented

D] have been implemented

Explanation: Subjunctive after verbs of demand

Question 5

_____ all the regulatory reforms, systemic risks persist in the financial sector.

A) Notwithstanding

B) Besides

C) Moreover

D] Therefore

Explanation: Formal preposition meaning 'despite'

Question 6

The corporation, _____ subsidiaries operate in over sixty countries, faces complex regulatory challenges.

A) whose

B) which

C) that

D] where

Explanation: Possessive relative pronoun

Question 7

So rapid _____ that traditional economic models struggle to capture its full impact.

A) has been digital transformation

B) digital transformation has been

C) was digital transformation

D] digital transformation was

Explanation: Inversion after 'so + adjective'

Question 8

The policy committee recommended that environmental considerations _____ into all investment decisions.

A) be integrated

B) are integrated

C) were integrated

D] have been integrated

Explanation: Subjunctive after verbs of recommendation

Question 9

_____ the detailed economic analysis, the investment decision remained controversial.

A) Despite

B) Although

C) Because of

D] However

Explanation: Preposition for contrast

Question 10

The financial regulations, _____ updated annually, struggle to keep pace with innovation.

A) though

B) despite

C) because

D] whether

Explanation: Concession with reduced clause

Question 11

No sooner _____ the economic sanctions than currency markets reacted violently.

A) had

B) did

C) was

D] has

Explanation: Past perfect in 'no sooner' construction

Question 12

The economic partnership, _____ in 2015, has generated substantial trade benefits.

A) established

B) establishing

C) having established

D] being established

Explanation: Past participle in reduced relative clause

Question 13

Such _____ the scale of the infrastructure investment that economic growth accelerated significantly.

A) was

B) were

C) is

D] are

Explanation: Inversion after 'such' with singular noun

Question 14

The board demanded that risk management procedures _____ immediately.

A) be strengthened

B) are strengthened

C) were strengthened

D] have been strengthened

Explanation: Subjunctive after verbs of demand

Question 15

_____ comprehensive the regulatory framework, loopholes inevitably emerge.

A) However

B) Although

C) Despite

D] Because

Explanation: Concession with adjective

Question 16

The economic forecast, _____ on sophisticated modeling, proved remarkably accurate.

A) based

B) basing

C) having based

D] being based

Explanation: Past participle in reduced relative clause

Question 17

So significant _____ that it transformed global supply chains.

A) was the technological advancement

B) the technological advancement was

C) had the technological advancement been

D] the technological advancement had been

Explanation: Inversion after 'so + adjective'

Question 18

The committee recommended that climate risk _____ in all financial decisions.

A) be considered

B) is considered

C) was considered

D] has been considered

Explanation: Subjunctive after verbs of recommendation

Question 19

_____ the economic uncertainties, innovation investment continued to grow.

A) Despite

B) Although

C) Because of

D] However

Explanation: Preposition for contrast

Question 20

The trade agreement, _____ negotiated over five years, created new market opportunities.

A) painstakingly

B) painstaking

C) painstaken

D] painstake

Explanation: Adverb modifying past participle

Reading

Passage 1: The Economics of Climate Change and Carbon Pricing

Climate change represents the most significant market failure in human history, requiring urgent economic policy responses. The fundamental economic problem lies in the externalization of greenhouse gas emissions—the costs of climate damage are not reflected in market prices for fossil fuels and emission-intensive goods. Carbon pricing mechanisms, including carbon taxes and emissions trading systems, aim to internalize these externalities by putting a price on carbon emissions. The social cost of carbon attempts to quantify the economic damage caused by an additional ton of CO2 emissions, though estimates vary widely based on discount rates and damage functions. Well-designed carbon pricing can drive innovation in clean technologies while generating revenue that can be used to reduce distortionary taxes or fund climate adaptation. However, carbon pricing faces political economy challenges, including concerns about regressive impacts on low-income households and competitiveness concerns for emission-intensive trade-exposed industries. Border carbon adjustments have been proposed to address leakage and competitiveness issues, though they raise complex World Trade Organization compliance questions. Complementary policies like renewable energy standards, innovation subsidies, and infrastructure investments are often necessary to address market failures beyond the carbon externality. The transition to a low-carbon economy requires coordinated action across multiple policy domains, with carbon pricing serving as a central but not sufficient component of comprehensive climate policy.

Question reading-q1

What does climate change represent?

A) A) Market success

B) B) Market failure

C) C) Government failure

D) D] Technological failure

Question reading-q2

What is the fundamental economic problem?

A) A) Externalization of emissions

B) B) Insufficient regulation

C) C) Lack of technology

D) D] Consumer behavior

Question reading-q3

What do carbon pricing mechanisms aim to do?

A) A) Internalize externalities

B) B) Increase government revenue

C) C) Reduce energy consumption

D) D] Promote nuclear power

Question reading-q4

What attempts to quantify economic damage?

A) A) Social cost of carbon

B) B) Carbon tax rate

C) C) Emission targets

D) D] Temperature rise

Question reading-q5

What can carbon pricing drive?

A) A) Innovation in clean technologies

B) B) Deforestation

C) C) Fossil fuel use

D) D] Economic stagnation

Question reading-q6

What challenges does carbon pricing face?

A) A) Political economy challenges

B) B) Technical feasibility

C) C) Measurement problems

D) D] Scientific uncertainty

Question reading-q7

What has been proposed for competitiveness issues?

A) A) Border carbon adjustments

B) B) Tariff reductions

C) C) Subsidy increases

D) D] Tax exemptions

Question reading-q8

What questions do border adjustments raise?

A) A) WTO compliance

B) B) UN approval

C) C) EU regulations

D) D] US legislation

Question reading-q9

What policies are often necessary?

A) A) Complementary policies

B) B) Alternative policies

C) C) Opposing policies

D) D] International policies

Question reading-q10

What is carbon pricing in comprehensive policy?

A) A) Central but not sufficient

B) B) Sufficient alone

C) C) Minor component

D) D] Unnecessary element

Passage 2: Industrial Policy in the 21st Century

Industrial policy has experienced a remarkable renaissance after decades of neoliberal skepticism about government intervention in economic structure. The theoretical underpinnings of this revival draw on new understandings of market failures in innovation, coordination problems in industrial development, and the role of state capacity in economic transformation. Modern industrial policy differs significantly from its mid-20th century predecessors by emphasizing innovation ecosystems rather than individual firms, mission-oriented approaches rather than sectoral picking, and adaptive learning rather than rigid planning. The emergence of global value chains has complicated industrial targeting, as competitive advantages often reside in specific tasks rather than entire industries. Digital technologies and green transitions represent new frontiers for industrial policy,

with governments worldwide implementing strategies to capture leadership positions in artificial intelligence, renewable energy, and electric vehicles. However, contemporary industrial policy faces legitimate concerns about rent-seeking, government failure, and international trade tensions. The challenge lies in designing governance mechanisms that enable productive state intervention while minimizing capture by special interests. Experimental approaches, including independent technical agencies, sunset clauses, and rigorous evaluation, offer promising directions for addressing these governance challenges. The success of industrial policy ultimately depends on state capacity, policy learning, and the ability to foster productive public-private collaborations that leverage comparative advantages while adapting to rapidly changing technological and market conditions.

Question reading-q11

What has industrial policy experienced?

A) A) Renaissance

B) B) Decline

C) C) Stagnation

D) D] Rejection

Question reading-q12

What does modern industrial policy emphasize?

A) A) Innovation ecosystems

B) B) Individual firms

C) C) Traditional industries

D) D] Protectionism

Question reading-q13

What has complicated industrial targeting?

A) A) Global value chains

B) B) Labor markets

C) C) Currency fluctuations

D) D] Political changes

Question reading-q14

Where do competitive advantages often reside?

A) A) Specific tasks

B) B) Entire industries

C) C) Natural resources

D) D] Large corporations

Question reading-q15

What represent new frontiers for industrial policy?

A) A) Digital technologies

B) B) Traditional manufacturing

C) C) Agriculture

D) D] Textiles

Question reading-q16

What concerns does industrial policy face?

A) A) Rent-seeking

B) B) Popular support

C) C) Implementation speed

D) D] Cost effectiveness

Question reading-q17

What is the main challenge mentioned?

A) A) Designing governance mechanisms

B) B) Securing funding

C) C) Finding experts

D) D] Measuring outcomes

Question reading-q18

What offers promising directions?

A) A) Experimental approaches

B) B) Traditional methods

C) C) International models

D) D] Historical precedents

Question reading-q19

What does success ultimately depend on?

A) A) State capacity

B) B) Foreign investment

C) C) Natural resources

D) D] Market size

Question reading-q20

What must collaborations do?

A) A) Adapt to changing conditions

B) B) Follow fixed plans

C) C) Avoid risks

D) D] Maximize profits

Passage 3: The Economics of Inequality and Redistribution

Rising economic inequality has emerged as a defining challenge of the 21st century, with profound implications for economic growth, social cohesion, and political stability. The drivers of inequality are multifaceted, including technological change favoring capital and high-skilled labor, globalization, changing labor market institutions, and tax policy evolution. Thomas Piketty's work highlighted the tendency for returns on capital to exceed economic growth rates, potentially leading to inherited wealth dominance. However, the relationship between inequality and growth is complex—some inequality may incentivize innovation and effort, while extreme inequality can undermine growth by limiting human capital development and creating political instability. Modern redistribution policies must navigate difficult trade-offs between efficiency and equity, while addressing new challenges like wealth concentration in the digital economy and cross-border tax avoidance. Universal basic income proposals have gained attention as potential responses to automation-induced job displacement, though their fiscal feasibility and labor market effects remain debated. Place-based policies attempt to address spatial inequalities, but face challenges of targeting and potential inefficiency. The progressivity of tax-benefit systems has declined in many countries, while new forms of digital capital create novel challenges for tax design. Addressing inequality requires comprehensive approaches that combine education and skills policies, labor market institutions, progressive taxation, and social protection systems adapted to changing work patterns and demographic realities.

Question reading-q21

What has emerged as a defining challenge?

A) A) Rising inequality

B) B) Population decline

C) C) Environmental degradation

D) D] Technological stagnation

Question reading-q22

What did Piketty's work highlight?

A) A) Capital returns exceeding growth

B) B) Labor productivity decline

C) C) Technological unemployment

D) D] Globalization benefits

Question reading-q23

What can extreme inequality undermine?

A) A) Economic growth

B) B) Innovation

C) C) Competition

D) D] Entrepreneurship

Question reading-q24

What trade-offs must policies navigate?

A) A) Efficiency and equity

B) B) Growth and inflation

C) C) Employment and wages

D) D] Investment and consumption

Question reading-q25

What new challenges are mentioned?

A) A) Wealth concentration in digital economy

B) B) Agricultural productivity

C) C) Manufacturing decline

D) D] Service sector growth

Question reading-q26

What has gained attention as potential response?

A) A) Universal basic income

B) B) Higher minimum wage

C) C) Lower taxes

D) D] More regulation

Question reading-q27

What do place-based policies attempt to address?

A) A) Spatial inequalities

B) B) Income inequalities

C) C) Educational inequalities

D) D] Health inequalities

Question reading-q28

What has declined in many countries?

A) A) Progressivity of tax systems

B) B) Economic growth

C) C) Population growth

D) D] Inflation rates

Question reading-q29

What create novel challenges for tax design?

A) A) Digital capital forms

B) B) Traditional assets

C) C) Real estate

D) D] Natural resources

Question reading-q30

What does addressing inequality require?

A) A) Comprehensive approaches

B) B) Simple solutions

C) C) Technological fixes

D) D] Market solutions

Listening

Part 1: Discussion about financial market regulations

Script: {"narrator":"Good morning. This is the International English Language Testing System, IELTS. You will hear a number of different recordings and you will have to answer questions on what you hear. Ther...

Question listening-q1

What is the main topic of discussion?

A) A) Tax reforms

B) B) Financial market regulations

C) C) Monetary policy

D) D) Trade agreements

Question listening-q2

How much must tier-one capital ratios increase?

A) A) 200 basis points

B) B) 250 basis points

C) C) 300 basis points

D) D) 350 basis points

Question listening-q3

What is considered insufficient?

A) A) Capital requirements

B) B) Phase-in period

C) C) Supervision intensity

D) D] Reporting frequency

Question listening-q4

What emerging risks are mentioned?

A) A) Shadow banking

B) B) Currency volatility

C) C) Political instability

D) D] Commodity prices

Question listening-q5

What reduction in credit availability is modeled?

A) A) 8-10%

B) B) 12-14%

C) C) 15%

D) D] 18%

Question listening-q6

What approach is suggested as more pragmatic?

A) A) Uniform implementation

B) B) Tiered approach

C) C) Complete exemption

D) D] Regional variation

Question listening-q7

What new testing scenarios are proposed?

A) A) Enhanced stress testing

B) B) Basic scenario analysis

C) C) Historical simulation

D) D] Monte Carlo testing

Question listening-q8

What represents a fundamental shift in risk management?

A) A) Reverse stress testing

B) B) Value at risk

C) C) Sensitivity analysis

D) D] Back testing

Question listening-q9

What must 'living wills' enable?

A) A) Orderly resolution

B) B) Rapid expansion

C) C) Tax optimization

D) D] Market dominance

Question listening-q10

What does cost-benefit analysis show?

A) A) Immediate profits

B) B) Upfront costs with long-term benefits

C) C) Continuous losses

D) D] Uncertain outcomes

Part 2: Lecture on sustainable finance and ESG investing

Script: {"narrator":"Now turn to Part 2. You will hear a lecture on sustainable finance and ESG investing. Look at questions 11 to 20. You now have some time

to look at the questions.\n\n[Pause]\n\nNow listen...

Question listening-q11

What does sustainable finance represent?

A) A) Minor adjustment

B) B) Significant transformation

C) C) Temporary trend

D) D] Theoretical concept

Question listening-q12

What has ESG evolved from?

A) A) Government mandate

B) B) Niche considerations

C) C) Academic theory

D) D] Consumer demand

Question listening-q13

What has created momentum for ESG integration?

A) A) Single factor

B) B) Multiple converging factors

C) C) Regulatory pressure only

D) D] Investor demand only

Question listening-q14

What challenges does the field face?

A) A) Definitional ambiguity

B) B) Excessive regulation

C) C) Lack of interest

D) D] Technological barriers

Question listening-q15

What remains elusive according to the speaker?

A) A) Investor interest

B) B) Global harmonization

C) C) Regulatory frameworks

D) D] Scientific consensus

Question listening-q16

What poses particular difficulties?

A) A) Materiality assessment

B) B) Financial reporting

C) C) Risk management

D) D] Performance measurement

Question listening-q17

What further complicates the landscape?

A) A) Impact investing

B) B) Traditional investing

C) C) Hedge funds

D) D] Private equity

Question listening-q18

What technological solutions are mentioned?

A) A) Blockchain and AI

B) B) Cloud computing

C) C) Quantum computing

D) D] Internet of Things

Question listening-q19

What fundamental question remains?

A) A) About profitability

B) B) About genuine impact

C) C) About regulation

D) D] About measurement

Question listening-q20

What risk is mentioned?

A) A) Becoming marketing without impact

B) B) Excessive regulation

C) C) Investor disinterest

D) D] Technological failure

Part 3: Discussion about digital currencies and payment systems

Script: {"narrator":"Now turn to Part 3. You will hear a discussion between a fintech researcher and a central banker about digital currencies and payment systems. Look at questions 21 to 30. You now have som...

Question listening-q21

What do CBDCs represent according to the researcher?

A) A) Minor innovation

B) B) Watershed moment

C) C) Temporary solution

D) D] Theoretical concept

Question listening-q22

What potential benefit is mentioned for emerging economies?

A) A) Financial inclusion

B) B) Currency appreciation

C) C) Tax collection

D) D] Export growth

Question listening-q23

What risk does the central banker emphasize?

A) A) Bank disintermediation

B) B) Technological failure

C) C) Currency volatility

D) D] Inflationary pressure

Question listening-q24

How can risks be mitigated?

A) A) Through design choices

B) B) Through regulation

C) C) Through education

D) D] Through insurance

Question listening-q25

What concern is raised about privacy?

A) A) Surveillance potential

B) B) Data theft

C) C) Identity fraud

D) D] Hacking risks

Question listening-q26

What technology offers privacy solutions?

A) A) Zero-knowledge proofs

B) B) Blockchain

C) C) Encryption

D) D] Biometrics

Question listening-q27

What international issue is mentioned?

A) A) Cross-border payments

B) B) Trade disputes

C) C) Sanctions

D) D] Tax treaties

Question listening-q28

What advantage is mentioned for first movers?

A) A) Setting technical standards

B) B) Gaining market share

C) C) Reducing costs

D) D] Increasing profits

Question listening-q29

What monetary policy constraint could be overcome?

A) A) Zero lower bound

B) B) Inflation targeting

C) C) Exchange rate stability

D) D] Capital controls

Question listening-q30

What does the transition require?

A) A) Robust governance

B) B) Rapid implementation

C) C) Minimal regulation

D) D] Technical expertise

Part 4: Lecture on labor economics and future of work

Script: {"narrator":"Now turn to Part 4. You will hear a lecture on labor economics and the future of work. Look at questions 31 to 40. You now have some time to look at the questions.\n\n[Pause]\n\nNow liste...

Question listening-q31

What is the labor market undergoing?

A) A) Minor adjustments

B) B) Profound transformations

C) C) Temporary fluctuations

D) D] Cyclical changes

Question listening-q32

What does current automation differ in?

A) A) Automating cognitive tasks

B) B) Creating unemployment

C) C) Reducing costs

D) D] Increasing productivity

Question listening-q33

What labor market phenomenon is mentioned?

A) A) Polarization

B) B) Homogenization

C) C) Specialization

D) D] Globalization

Question listening-q34

What challenges does polarization pose?

A) A) Social cohesion

B) B) Economic growth

C) C) Technological progress

D) D] Environmental sustainability

Question listening-q35

What does the gig economy create?

A) A) Flexibility and precariousness

B) B) Stability and security

C) C) Equality and fairness

D) D] Growth and prosperity

Question listening-q36

What demographic contrast is mentioned?

A) A) Aging vs youth bulges

B) B) Urban vs rural

C) C) Educated vs uneducated

D) D] Rich vs poor

Question listening-q37

What requires rethinking?

A) A) Education systems

B) B) Monetary policy

C) C) Trade agreements

D) D] Tax rates

Question listening-q38

What must evolve to operational reality?

A) A) Lifelong learning

B) B) Universal basic income

C) C) Remote work

D) D] Automation

Question listening-q39

What should support lifelong learning?

A) A) Innovative financing

B) B) Government mandates

C) C) Corporate programs

D) D] International standards

Question listening-q40

What will determine the future of work?

A) A) Policy choices

B) B) Technological inevitability

C) C) Market forces

D) D] Global trends

Writing

Writing Task 1

Prompt: undefined

The chart shows the main sources of government revenue in 2020 for four countries: the United States, the United Kingdom, Japan, and Australia. Overall, income tax was the biggest source of revenue in most countries, while other taxes such as corporate tax and sales tax made up smaller shares. In the United States and the United Kingdom, income tax accounted for the largest part of government revenue, around one third to nearly half of the total. Japan also relied heavily on income tax, but it had a slightly higher percentage of corporate tax compared to the other countries. In Australia, income tax still made up the main source, but sales tax also contributed a noticeable portion. Other minor sources such as property tax or customs duties were much smaller in all four countries. In general, all governments depended most on income tax, while other taxes varied slightly depending on each country's economic structure

Writing Task 2

Prompt: undefined

Some people think that giving everyone a fixed amount of money every month, called universal basic income or UBI, can help solve problems like job loss from machines and unfair gaps between rich and poor. They say that when robots and computers do more work, many people lose their jobs, so having a basic income would make sure everyone has enough money for food, rent, and other needs. It can also help people feel safer, try new jobs, or learn new skills without being scared of having no income. But other people think this idea is not good. They say that if everyone gets money even without working, many people

may stop trying to find jobs, and that would hurt the economy. They also worry that the government would need a lot of money to pay everyone, which could mean higher taxes. Instead, they think the government should help people find new kinds of work and teach them new skills. In my opinion, giving everyone some basic money can be a good idea if it is done carefully. It should help people when they lose jobs but should not replace the need to work. If the plan is fair and well managed, it can make life safer for everyone while still encouraging people to work and learn